Thames Auto Receivables 2026-1 plc

Prospectus (short form) — £74,075,862.24 asset-backed floating rate notes

2026-01-28

Important notice

This document is a teaching prospectus written for the book *Learning AI from Zero — Build Your Own AI Agent*. The issuer, the originator, the trustee and every loan in the portfolio are fictional. Any resemblance to a real company or person is a coincidence. Real prospectuses run to several hundred pages; this one keeps only the sections an analyst needs to monitor the deal: the parties, the notes, the portfolio, the priority of payments, the reserve fund and the trigger events.

Throughout this document, "period" means a monthly collection period. Period 1 is January 2026 and period 12 is December 2026. Each period is followed by a payment date on the 20th day of the next month.

1. Transaction overview

Item	Detail
Issuer	Thames Auto Receivables 2026-1 plc
Originator and seller	Kestrel Motor Finance Ltd
Servicer	Kestrel Motor Finance Ltd
Trustee	Albion Trustee Services Ltd
Assets	UK motor vehicle loans: hire purchase (HP) and personal contract purchase (PCP)
Number of loans at the cut-off date	5,000
Pool balance at the cut-off date	£74,075,862.24
Cut-off date	2025-12-31
Closing date	2026-01-28
First payment date	2026-02-20
Payment frequency	Monthly, on the 20th day of each month
Currency	Pounds sterling (GBP)
Risk retention	The originator retains 5% of the nominal value of each class of notes (a vertical slice)

The issuer buys the loans from the originator on the closing date and pays for them with the proceeds of the notes. The borrowers keep paying their monthly instalments to the servicer, which passes the money to the issuer. The issuer uses that money, on each payment date, to pay its fees, the interest on the notes and the principal on the notes, in the order set out in section 5.

Risk retention. UK securitisation rules require the originator to keep a material net economic interest of at least 5% in the transaction. The originator holds it as a *vertical slice*: 5% of the nominal value of each class of notes, kept for the life of the transaction and not hedged or sold. Holding Class D alone would not be enough, because Class D is 4% of the notes.

2. The notes

Class	Initial balance	Share	Interest rate	Rating
Class A	£62,964,482.91	85%	SONIA + 0.70%	AAA
Class B	£4,444,551.73	6%	SONIA + 1.30%	AA
Class C	£3,703,793.11	5%	SONIA + 2.10%	A
Class D	£2,963,034.49	4%	SONIA + 3.50%	BBB

Interest. Each class pays interest monthly at SONIA plus its margin. For each period, interest equals the class balance at the start of the period multiplied by one-twelfth of the annual rate. The SONIA rate for each period is stated in the investor report.

Principal. On each payment date the issuer pays principal so that the total balance of the notes falls to the pool balance at the end of the period, provided enough funds are available (section 5, item 7).

Pro rata and sequential payment. Until a trigger event occurs (section 6), principal is shared between all classes in proportion to their balances (*pro rata*). From the first payment date on which a trigger event has occurred, principal is paid *sequentially*: Class A is repaid in full before Class B receives any principal, then Class B before Class C, then Class C before Class D. The switch to sequential payment is permanent.

3. The portfolio at the cut-off date

Characteristic	Value
Number of loans	5,000
Pool balance	£74,075,862.24
Average current balance	£14,815.17
Largest current balance	£58,863.68
Weighted average interest rate	9.31%
Weighted average remaining term	29.9 months
Weighted average seasoning	15.2 months
Weighted average credit score	782
Weighted average original loan-to-value	87.93%
Share of PCP loans (by balance)	63.03%
Total balloon amounts (PCP)	£28,005,714.71

Table 3.1 — Distribution by region

Category	Loans	Balance	Share of balance
East Midlands	309	£4,486,568.49	6.06%
East of England	472	£7,154,659.84	9.66%
London	620	£9,758,144.69	13.17%
North East	173	£2,464,219.82	3.33%
North West	575	£8,232,983.85	11.11%
Northern Ireland	153	£2,415,179.38	3.26%
Scotland	415	£6,283,572.66	8.48%
South East	777	£11,277,537.15	15.22%
South West	392	£5,615,516.42	7.58%
Wales	305	£4,648,597.91	6.28%
West Midlands	433	£6,363,239.47	8.59%
Yorkshire and the Humber	376	£5,375,642.56	7.26%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 3.2 — Distribution by product

Category	Loans	Balance	Share of balance
HP	2,037	£27,383,612.38	36.97%
PCP	2,963	£46,692,249.86	63.03%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 3.3 — Distribution by vehicle type

Category	Loans	Balance	Share of balance
New	2,033	£42,297,142.75	57.10%
Used	2,967	£31,778,719.49	42.90%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 3.4 — Distribution by fuel type

Category	Loans	Balance	Share of balance
Petrol	2,235	£33,204,077.76	44.82%
Diesel	1,030	£15,215,542.99	20.54%
Hybrid	950	£14,143,543.83	19.09%
Electric	785	£11,512,697.66	15.54%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 3.5 — Distribution by credit score

Category	Loans	Balance	Share of balance
Below 650	346	£5,532,344.17	7.47%
650–699	547	£8,225,210.36	11.10%
700–749	860	£12,467,591.27	16.83%
750–799	1,109	£16,232,450.17	21.91%
800–849	1,001	£14,799,106.97	19.98%
850 and above	1,137	£16,819,159.30	22.71%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 3.6 — Distribution by interest rate

Category	Loans	Balance	Share of balance
Below 8.00%	712	£12,799,353.62	17.28%
8.00–8.99%	1,061	£17,069,490.22	23.04%
9.00–9.99%	1,495	£21,709,781.63	29.31%
10.00–10.99%	1,114	£14,702,599.80	19.85%
11.00% and above	618	£7,794,636.97	10.52%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 3.7 — Distribution by original loan-to-value

Category	Loans	Balance	Share of balance
Below 80%	1,011	£13,633,754.79	18.41%
80–84.99%	975	£13,886,796.16	18.75%
85–89.99%	1,008	£14,995,451.43	20.24%
90–94.99%	1,015	£15,970,849.10	21.56%
95–100%	991	£15,589,010.76	21.04%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 3.8 — Distribution by remaining term

Category	Loans	Balance	Share of balance
1–12 months	538	£5,365,291.13	7.24%
13–24 months	1,385	£18,572,815.58	25.07%
25–36 months	1,823	£28,453,565.95	38.41%
37–60 months	1,254	£21,684,189.58	29.27%
Total	**5,000**	**£74,075,862.24**	**100.00%**

4. Eligibility criteria and definitions

Each loan met the following criteria at the cut-off date:

1. The borrower is an individual resident in the United Kingdom.
2. The loan is a hire purchase or personal contract purchase agreement for a car.
3. No instalment was in arrears (days past due equal to 0).
4. At least 3 instalments had been paid (seasoning of 3 months or more).
5. At least 6 instalments remained to be paid.
6. The original loan-to-value was 100% or less.

Definitions used in this prospectus

- **Pool balance**: Sum of the outstanding principal of all loans that are not defaulted, prepaid or repaid.
- **Defaulted loan**: A loan is defaulted when it is 4 instalments in arrears. A defaulted loan leaves the pool balance in the period in which it defaults; its outstanding principal at that date is its *defaulted balance*.
- **Recoveries**: amounts received after a default, mainly from the sale of the vehicle. For this transaction the servicer expects to recover 55% of the defaulted balance, 3 periods after the default.
- **Cumulative default ratio**: the sum of the defaulted balances of all loans that have defaulted since the cut-off date, divided by the pool balance at the cut-off date (£74,075,862.24).
- **90+ day arrears ratio**: the total balance of loans that are not defaulted and have 3 instalments in arrears, divided by the pool balance, both measured at the end of the period.
- **Available funds**: for each period, the sum of interest collections, principal received from instalments (including balloon payments), prepayments and recoveries received during the period.

5. Priority of payments

On each payment date the issuer applies the available funds in the following order. An item is paid only when every item above it has been paid in full.

1. **Senior fees**: the servicer fee of 1.00% per year on the pool balance at the start of the period (paid monthly at one-twelfth of that rate), and the trustee fee of £2,500.00 per payment date.
2. **Class A interest.**
3. **Class B interest.**
4. **Class C interest.**
5. **Class D interest.**
6. **Reserve fund top-up**: the amount needed to bring the reserve fund back to its required amount.
7. **Principal on the notes**: the amount needed to reduce the total note balance to the pool balance at the end of the period, paid pro rata or sequentially as described in section 2.
8. **Deferred consideration**: any remaining amount is paid to the originator.

If the available funds are not enough to pay items 1 to 5 in full, the shortfall is drawn from the reserve fund. The reserve fund is never used to pay principal or deferred consideration.

If the funds left for item 7 are lower than the amount needed, the total note balance stays above the pool balance. The difference is called a *principal deficiency*; it is reduced on later payment dates from the funds left after item 6.

6. Reserve fund and trigger events

Reserve fund. On the closing date the originator funds a reserve fund of £1,111,137.93, equal to 1.50% of the initial balance of the notes. The required amount stays at this level for the life of the transaction.

Trigger events. A trigger event occurs when any of the following tests fails. The tests use the figures at the end of each period and are reported in each investor report.

Test 1 — Cumulative default ratio. The cumulative default ratio must not exceed:

Periods	Maximum cumulative default ratio
Periods 1 to 6	1.00%
Periods 7 to 12	2.00%

Test 2 — 90+ day arrears ratio. The 90+ day arrears ratio must not exceed 1.25%.

Test 3 — Reserve fund. After the previous payment date, the reserve fund must be at its required amount.

Consequence. From the payment date that follows the period in which a trigger event occurs, principal is paid sequentially (section 2). The switch is permanent, even if the test is passed again in a later period.

Reporting. Within 15 days after each payment date, the servicer publishes an investor report showing the pool performance, the arrears, the application of funds, the note balances, the reserve fund and the result of each test in this section.